

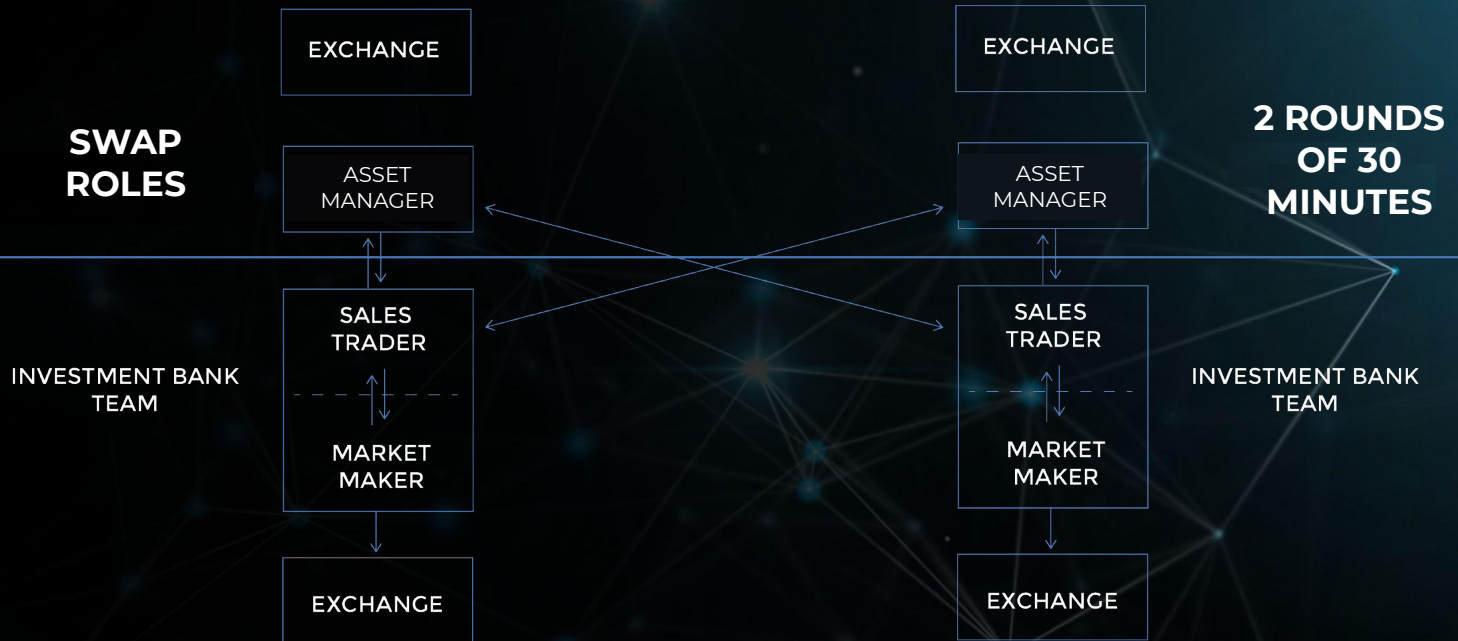


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# FINANCE ACCELERATOR SIMULATION

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# THE SIMULATION



**The simulation runs over two rounds so you can experience both the investment bank and asset management side of the trade**



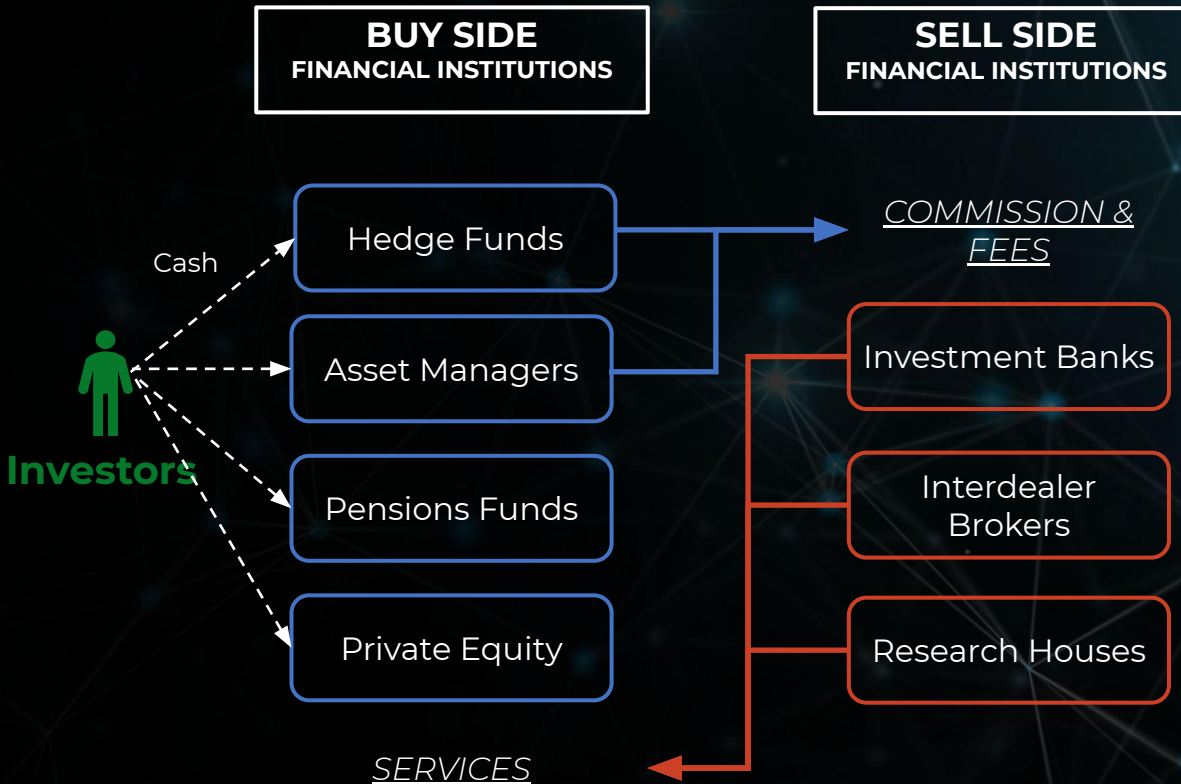
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# THE FINANCIAL INDUSTRY

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# INDUSTRY OVERVIEW

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# INVESTMENT BANKS

PROVIDES CLIENTS WITH ACCESS MARKETS AND ADVISORY SERVICES

## GLOBAL MARKETS DIVISION

Sales /  
Sales Traders

Prime  
Brokerage

Structured  
Products /  
Research

Market Makers  
/ Quants

Communication  
with Clients

Creating &  
Pricing Financial  
Products

## INVESTMENT BANKING DIVISION

Debt Capital  
Markets

Equity Capital  
Markets

Industry  
Coverage

M&A

Helping their  
clients raise  
capital

Helping their  
clients identify  
and execute  
transactions

# UNDERSTANDING FLOW

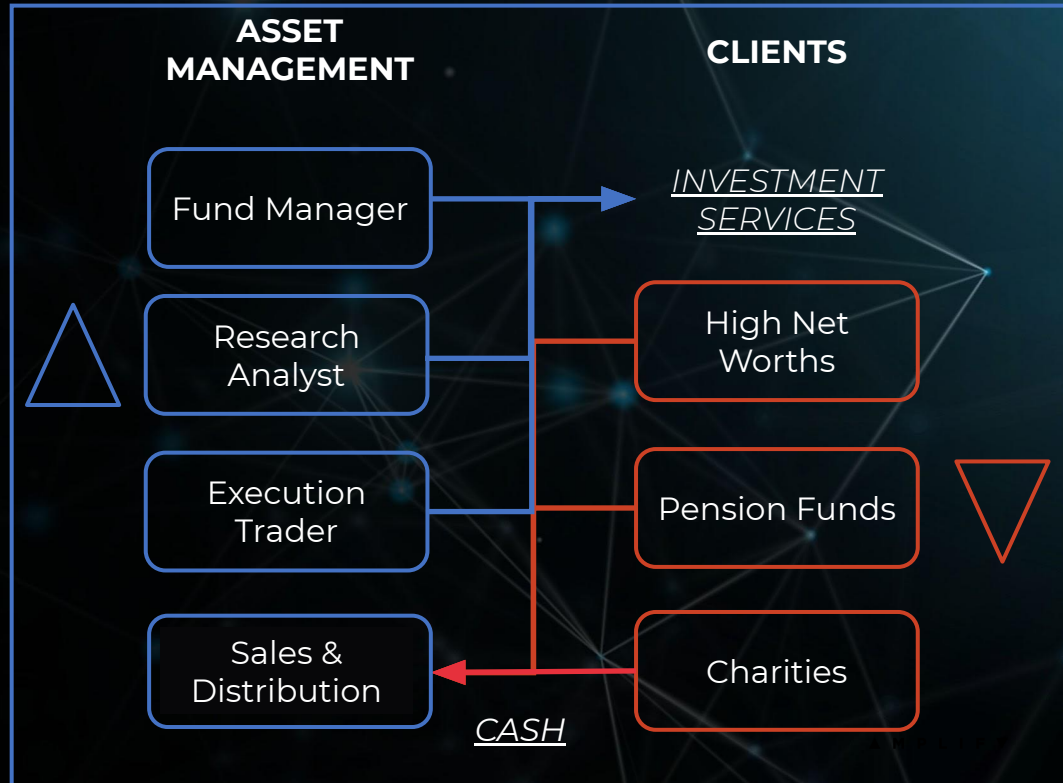
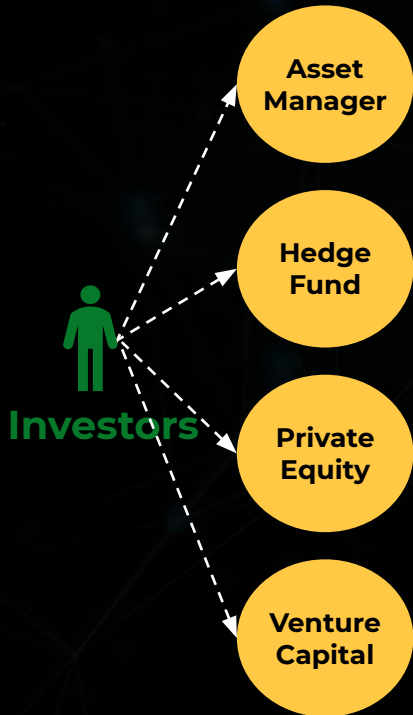
## HOW THE BUY-SIDE USES THE SELL-SIDE SERVICES



# ASSET MANAGEMENT

## HELPING CLIENTS INVEST THEIR MONEY

### TRADERS & INVESTORS





# UNDERSTANDING FLOW

## HOW THE BUY-SIDE USES THE SELL-SIDE SERVICES





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# INVESTMENT BANKS MAKING A PRICE

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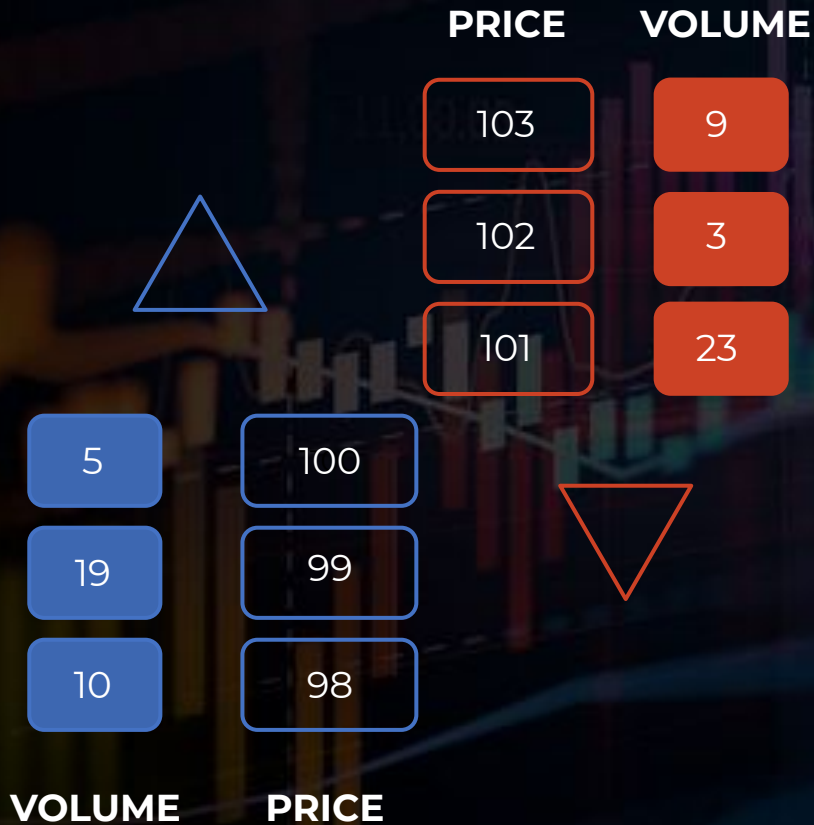
# UNDERSTANDING LIQUIDITY

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# UNDERSTANDING LIQUIDITY

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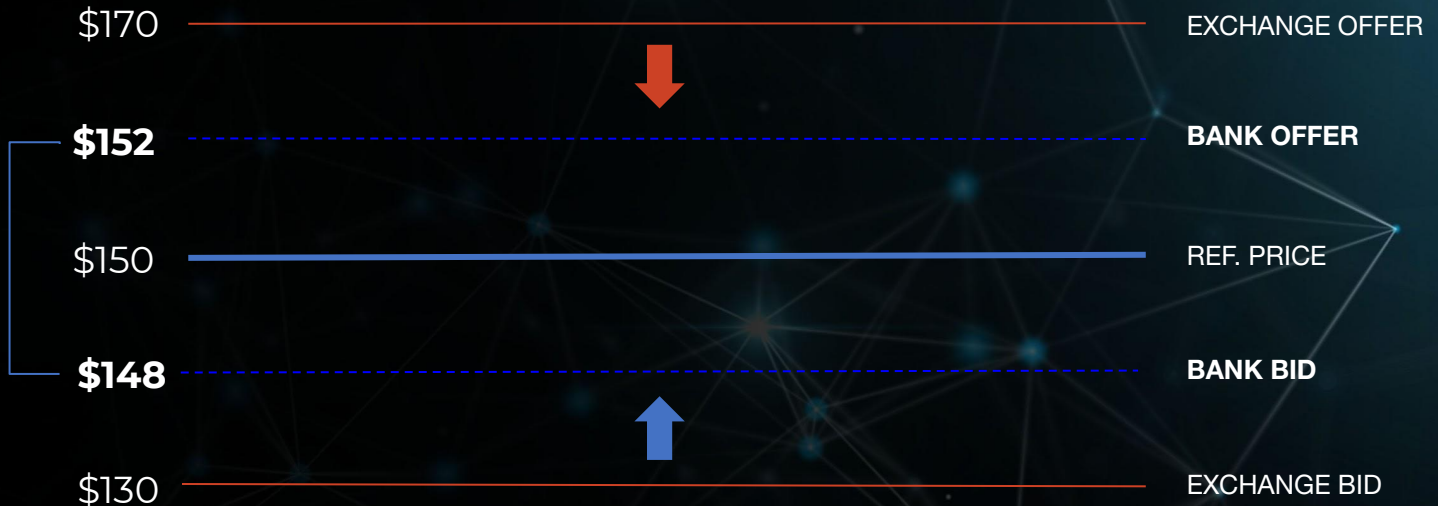


The diagram illustrates a limit order book with two main sections: a bid side (left) and an ask side (right). The bid side is represented by a blue upward-pointing triangle, and the ask side by an orange downward-pointing triangle. Each side contains a list of orders with their respective prices and volumes. The background features a blurred financial candlestick chart.

|    | PRICE | VOLUME |
|----|-------|--------|
|    | 103   | 9      |
|    | 102   | 3      |
|    | 101   | 23     |
| 5  | 100   |        |
| 19 | 99    |        |
| 10 | 98    |        |

**VOLUME**      **PRICE**

# MAKING A PRICE



With no position of risk the bank may have an equal spread of bid and offer around the reference price

# MAKING A PRICE

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|                                                             | BID [98]    | 100 | OFFER [102] |
|-------------------------------------------------------------|-------------|-----|-------------|
| <b>INVESTMENT BANK</b><br>MARKET MAKER<br><br>(PRICE MAKER) | <b>BUY</b>  |     | <b>SELL</b> |
| <b>ASSET MANAGER</b><br>CLIENT<br><br>(PRICE TAKER)         | <b>SELL</b> |     | <b>BUY</b>  |

**The Market Maker will always take the other side of the client trade**



# INVESTMENT BANK

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## OBJECTIVES

### ***Sales Trading***

Maintain a good relationship with clients

Maximise commission

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### ***Market Making***

Make competitive prices

Limit risk exposure





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# ASSET MANAGEMENT ASSET ALLOCATION

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# MANAGING YOUR PORTFOLIO

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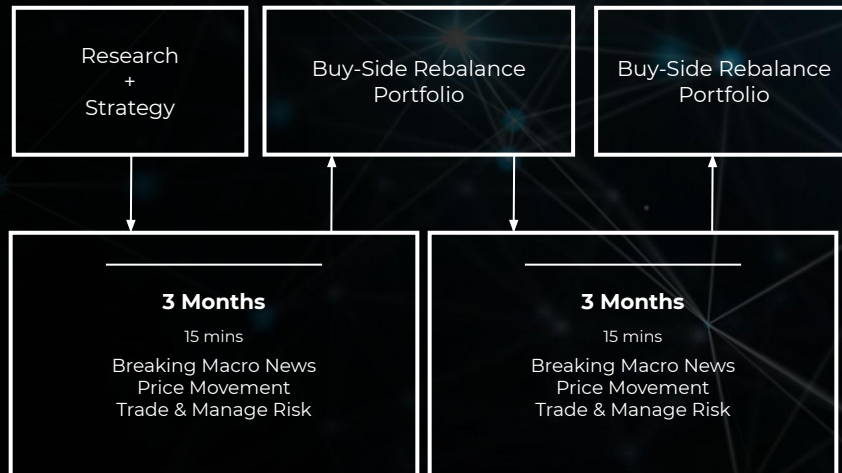
\$20 million Global Equity Long only fund

Client risk profile - Moderately high, equity only

Wide spreads will demand investment bank trades

Stop loss limit of \$500,000 on any position

30 minutes of data covering 2 quarters of news and events



# BEATING THE BENCHMARK

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The benchmark is an equal allocation of global stocks

Your allocation strategy should be close to this portfolio, with upto to 10% higher or lower allocation based on news flow

Be careful, as asset prices move your % allocation will change

WORLD INDEX

| Equity Asset | Benchmark Weighting |
|--------------|---------------------|
| Alibaba      | 20%                 |
| HSBC         | 20%                 |
| BP           | 20%                 |
| Microsoft    | 20%                 |
| Volkswagen   | 20%                 |

# ASSET MANAGER

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## OBJECTIVES

Beat the benchmark

Maximise Return on Investment

Get the best execution price

Maintain risk parameters





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# **SIMULATION AND ASSESSMENT**

# THE SIMULATION

▲ M P L I F ▼

10:32:32

Realized P+L 0

Unrealized P+L -61,480

Commission 0

Total P+L -61,480

4. CMDTY 3. FX 2. BOND 1. EQUITY

| TICKER | REPRICE     | % CHG   | TYPE     |
|--------|-------------|---------|----------|
| AMZN   | \$ 1,376.64 | -1.67 % | Equity ○ |
| SPX    | \$ 2,648.81 | -0.42 % | Equity ○ |
| AAPL   | \$ 156.68   | -2.07 % | Equity ○ |

Search keywords

TICKER

HEADLINE

SPX

BREAKING: Federal Reserve raises US Interest Rates further

OIL

NEWS: Oil suffering on strong USD, says Barkindo

GBPUSD

NEWS: UK PMs lower than expected

AMZN

BREAKING: Amazon issues broad recall for all ALEXA products.

SPX

RELEASE: Federal Reserve raises US Interest Rates to battle raising inflation

AMZN

NEWS: Twitter rumours circulating that ALEXA catches fire spontaneously

BRIEFING: FOMC Rate Decision

POSITIONS

TRADE BLOTTER

| SECURITY | NET POS | AVG. PRICE | POS. VALUE(\$) | UNREALISED P/L | REALISED P/L | NET P/L |
|----------|---------|------------|----------------|----------------|--------------|---------|
| AAPL     | -500    | 156.21     | -78,343        | -238           | 0            | -238    |
| AMZN     | 500     | 1,470.7    | 688,321        | -47,025        | 0            | -47,025 |
| GOLD     | 200     | 1,398.5    | 267,317        | -12,386        | 0            | -12,386 |
| OIL      | 500     | 62.463     | 31,653         | 421            | 0            | 421     |
| SPX      | -50     | 2,603.7    | -132,440       | -2,253         | 0            | -2,253  |

NEWS: Oil suffering on strong USD, says Barkindo

10:04-10:11

OPEC's Secretary General Barkindo, states that the strong dollar is hurting oil prices.

0:00 / 0:04

PREVIOUS

NEXT

LOOKING FOR A BUYER  
[10/4/2020, 10:18:56] You:  
MESSAGE ME FOR IMMEDIATE TRADE

Input your message

SEND MESSAGE

LIVE CHAT QUOTES

OLD CHAT QUOTES

HF SECURITY REPRICED OFFER OFFER VOL VALID FOR

Valid for seconds  
120

Offer Price  
1220

Offer Volume  
2000

ND QUOTE

GOLD

PRICE VOLUME LINE CANDLESTICK

Zoom 5min 15min 30min 60min All

The chart displays the price of Gold over time. The price starts around 1350, peaks at approximately 1400 around 09:45, and then declines to around 1350 by 10:30. The chart includes a moving average line and a candlestick view at the bottom.

Highcharts.com

The simulation runs over two rounds so you can experience both the investment bank and asset management side of the trade

# YOUR PERFORMANCE

## IB GLOBAL MARKETS

**COMM**

### COMMISSION

Measures the revenue result of your sales ability relative to your peer group.

**FFC**

### FAT FINGER COUNT

Are you able to work under pressure and still avoid making pricing mistakes?

**NUMT**

### NUMBER OF TRADES

How many trades to you send to your clients compared to your peers?

**SSRM**

### RISK MANAGEMENT

How well do you unwind the risk of the bank in order driven products?

**ETM**

### EXCHANGE TRADE METRIC

How effectively did you break up larger trades into small sizes when unwinding using the exchange?

## ASSET MANAGER

**ROI**

### RETURN ON INVESTMENT

How profitable was you fund as a result of the investment decisions made.

**EXE**

### EXECUTION

Were you able to execute large block trades close to the reference price?

**BSRM**

### RISK MANAGEMENT

Did you invest your funds effectively, avoiding breaching your loss limit?

**RA**

### RISK APPETITE

Did you invest your client's funds or suffer from indecision and sit on too much cash?